

The company's Total or Overall Capital Expenditure in the year can be divided into two parts

**Maintenance
CAPEX**

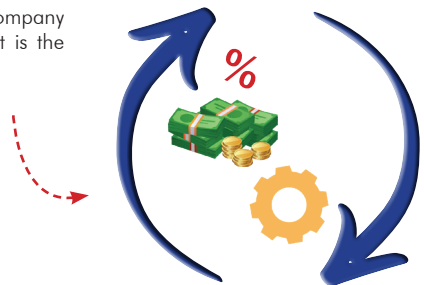
**Growth
CAPEX**

To get data on both the Maintenance CAPEX as well as the Growth CAPEX, we need to understand from the management. It is not always possible to get this data. We can even estimate by talking to competitor or past financial statements.

If the company is spending mostly on Maintenance CAPEX, it is getting no incremental revenue out. However, if the company is spending in Growth CAPEX, then there is a good chance that sales will increase with the volume.

The question that needs to be asked is the regularity of CAPEX required to stay in business for a company.

We need to understand how often does the company undertake large investment activities and what is the growth following that.



There are some businesses where a large part of cash flow has to be compulsorily reinvested into fixed assets. There are also other companies that require little capital expenditure. The first kind of companies face difficulties in generating high free cash flow.